



Apple Inc. (AAPL)

Nicholas Jones- Equity Research Report-Feb 11, 2025

Apple Inc. (AAPL)

Current price: 227.64 (February 8, 2025, Market Close)

Advice: Sell/Short

Ticker:	AAPL
Year Founded (Yrs Ago)	49
iPhone Introduction (Yrs ago)	18
In Millions Except Per Share	
Price	227.64
Shares Outstanding	15,116.786
MC	3,441,185.17
Cash and Cash Equiva	30,299.00
NC	3,410,886.17
Cash Per Share	2.00
Max Loss (Per Share)	225.64
Liabilities	277,327.00
EV	3,688,213.17

Current NPV value of Net Income/cash flow to perpetuity with a 1 percent maturity/growth rate (2 percent the first 2 years) and discount rate based on Net Income to EV added to the chosen long- term (30 year) bond yield (Stock Price: \$ 103.86), Adjusted for USD/ Euro conversion rate (based on tariff impacted assumptions) (Stock Price: \$ 105.52)

Current NPV value of Net Income/cash flow to perpetuity with a -1 percent maturity/growth rate and discount rate based on Net Income to EV added to the chosen long- term (30 year) bond yield (Stock Price: \$ 71.82.) No currency adjustment given the nature of the low impact of said assumptions in the above valuation.

<i>In millions</i>							
Base Equity Risk Assumption		Income to EV Value 2024 E/R		Currency Adjusted Value		Current Stock Price Reflection	
Discount Rate/ "WACC"	10.63%	Discount Rate/ "WACC"	7.67%	Discount Rate/ "WACC"	7.57%	Discount Rate/ "WACC"	3.90700%
Maturity/ "Growth Rate" to	1.0%						
NPV	\$1,095,552.81	NPV	\$1,539,733.44	NPV L/C	\$1,564,776.22	NPV	\$3,410,812.06
Cash	30,299						
Net NPV	\$1,125,851.81	Net NPV	\$1,570,032.44	Net NPV L/C	\$1,595,075.22	Net NPV	\$3,441,111.06
Liabilities	277,327.00						
Current Share Price	227.64						
NPV Share Price	74.48	NPV Share Price	\$103.86	NPV Share Price L/C	\$105.52	NPV Share Price	\$227.64
MC	3,441,185.17						
EV	3,688,213.17						
30 Year Bid Yield (AAPL)	5.13%						
Equity Risk Premium	5.50%	Equity Risk Premium	2.54%	Equity Risk Premium L/C	2.44%	Equity Risk Premium	-1.23%
Shares Outstanding	15,116.786						
Valuation to Actual	-6.7%	Valuation to Actual	-54%	Valuation to Actual L/C	-54%	Valuation to Actual	0%
Net Income to E/V (yrs)	39.35			Net Income L/C to E/V (yrs)	41.02		

Valuation Information:

Why choose this valuation strategy as the basis for my stock price evaluation? It is rooted in the belief that any given company's intrinsic value is essentially the sum of its cash flows to perpetuity discounted by the supposed "risk" of said cash flows. Furthermore, this entails the belief that over a long enough period Net Income (NI) will equal or even give a better insight into the free cash flow analysis that is favored by some analysts. Free Cash Flow (FCF) can fluctuate, and this is why it is often represented as a company's working capital. This is why you see a high fluctuation in FCF for AAPL in Q/Q data but when you look at the Y/Y data it balances out. Thus, the only thing that I lean on as it pertains to FCF in this given model is to see a general idea of how they are using their working capital, yet given the steady Y/Y rates and data for the metrics that measure working capital such as: Capital Expenditures (CapEx), Depreciation and Amortization (D&A), Cash Flow From Operations (CFFO), and of course FCF I do not put much stock, pun intended, into these metrics for this company. I have also implemented an EBITDA multiples chart within the model as a sort of stress test of the current multiple rate (and other rates) to see how this relates to its current stock price. Yet, I still favor Net Income for long-term valuations as it buffs out the day-to-day working capital changes and over a long enough period is a more accurate representation of company performance and thus present value of future cash flows.

This leads me to my next point, in that I believe that if you are trading, investing, or whatever you would like to call it, based on stock price valuations that are rooted in your belief in the company's direction and thus overall performance, then you must hold the said position until the thesis changes, and in many cases add to the position when the market moves against you and the thesis does not change. Many would call this "Value Investing" that has been made famous by the man himself, "Warren Buffet", who ironically was a large stakeholder in AAPL and unironically has been liquidating said position in the recent years. Has something changed in the thesis of value investing for AAPL? I believe so given my valuation. Thus, I cannot further give you a time horizon in which you should cover your short position for this stock, as it would essentially undermine the evaluation that I have made and the basis of value investing. If the thesis for the original value investment I have made changes and thus the projected data, then you cover or based on how much the thesis changes potentially flip positions. This is a strategy that you would find in the "The Intelligent Investor" by Benjamin Graham. Benjamin Graham is often referred to as the originator of the Value Investing approach that one of his "disciples", so to speak, Warren Buffet went on to make popular. Yet, even Warren Buffet contributes much of his Value Investment ideals to this book and thus to Benjamin Graham.

Moving on, I believe that it is important to give you more of an idea of the thesis around the projections that I have made before presenting more of the calculations. While projections will of course have an impact on the stock price. I believe that my 1% maturity to perpetuity of

the revenue and thus NI estimation is a modest one to say the least. If it was not for the nature of the complete over evaluation of this stock that I saw from the calculation of this given growth rate, then the base maturity rate that I would have used would have been a negatively impactful one. As this is not only a generally better representation of the value of a company today, I also believe it is a better representation of where AAPL's revenue and thus Net Income is headed.

So why am I generally negative in my sentiment on AAPL, other than the direct valuation? For one, the equity risk premium would have to be negative to get the current stock price shown in the "reverse engineering of the stock" column of the valuation above. This is problematic for a company as this means that the return on equity is presumed to be a less risky asset than the risk of borrowing debt/ buying its bonds. Essentially this compacted with the EV/EBITDA multiple (27) that AAPL is trading at does not make any sense. Keep in mind that in a publicly traded company, in case of default, or in general dividends, the stakeholders are paid after all debts/liabilities are accounted for. Meaning that equity is second in line to bonds as it pertains to risk- quite literally. While the skew is generally higher for equity, meaning that the risk to reward has been in history a more favorable multiple, that does not mean the equity is less risky, and the fact that the stock market has not corrected for this upon the Federal Reserve's raising of interest rates and essentially "borrowing rates", as it pertains to this context, is cause for concern (to say the least.)

Next, whether they like it or not, AAPL is a phone company. 50% of the Revenue, more or less, comes from the iPhone, and in the past three years the iPhone revenue has stagnated, and to be clear not from a relative standpoint... literally stagnated. We are talking about a company that is trading at EV/EBITDA that is 27X yet has not shown any concept of how they are to replace the derivative of said revenue stream. I know the next iPhone is going to be "revolutionary", pardon my satire, but unfortunately the reality is the inventor of the iPhone (Steve Jobs), and every relevant AAPL product excluding the Apple Watch, has passed. Meaning that this reality, along with a stagnant CapEx and R&D in recent years, and no sign of innovation, outside of the service industry, is a recipe for disaster.

Ahh, the Service Industry.... AAPL's savior, right? Wrong, the service industry (while totting an impressive 74% gross margin) gives no reason to believe that AAPL will hold an economic moat in this industry (not to mention in time to justify their current valuation) where they are not even a top player in the live streaming of primetime sports. So, given this reality what does the average investor expect? The top player in streaming movies and shows alike is Netflix which is only valued at 434.46 billion. Sure, this market cap comp is a rough estimate given that they do still have the stagnated iPhone revenue and other products, yet, for a three and a half trillion-dollar company it is fair to say that I expect more. Furthermore, to harp on the company's failures, if you were to buy this company in full today it would take you roughly 40 years to get your money back based on the Net Income to EV ratio displayed in the model. I

bring this up to add to the value investor approach that running valuations incentivizes. You should often look at your potential positions as if you were to buy the whole company, as why would you want a share of a company (assuming that you had the money and diversification was not of importance that you would not purchase? Furthermore, is fair to say that if I had the money I would not purchase AAPL. I am effectively suggesting the inverse by shorting the company.

Main					
<i>In million Except Share Which is In Thousands and Per Share Data</i>	2020	2021	2022	2023	2024
Income Statement					
iPhone	137,781	191,973	205,489	200,583	201,183
iPhone % Rev	49%	48%	49%	50%	52%
Mac	28,622	35,190	40,177	51,100	28,622
iPad	23,724	31,862	29,292	50,157	23,724
Wearables	30,620	38,367	41,241	70,368	30,620
Products	220,747	297,392	316,199	298,085	294,866
Services	53,768	68,425	78,129	85,200	96,169
Revenue	274,515	365,817	394,328	383,285	391,035
Cost of Product (COP)	151,286	192,266	201,471	189,282	185,233
Cost of Services (COS)	18,273	20,715	22,075	24,855	25,119
Total Cost of Sales (TCOS)	169,559	212,981	223,546	214,137	210,352
Gross Profit	104,956	152,836	170,782	169,148	180,683
R and D	18,752	21,914	26,251	29,915	31,370
SG and A	19,916	21,973	25,094	24,932	26,097
Operating Expenses (OpEx)	38,668	43,887	51,345	54,847	57,467
Operating Income (OpInc)	66,288	108,949	119,437	114,301	123,216
Interest	803	258	(334)	(565)	269
Pretax Income	67,091	109,207	119,103	113,736	123,485
Taxes	9,680	14,527	19,300	16,741	29,749
Net Income	57,411	94,680	99,803	96,995	93,736
EPS	13.40	5.58	6.08	6.08	6.03
Shares	4,283,939.00	16,976,763	16,426,786	15,943,425	15,550,061
Revenue Y/Y		33%	8%	-3%	2%
Revenue L/C Y/Y			9%	7%	-5%
iPhone Y/Y		39%	7%	-2%	0%
Services Y/Y		13%	7%	13%	1%
Gross Margin		42%	43%	44%	46%
Services Margin		70%	72%	71%	74%
Products Margin		35%	36%	37%	37%
Operating Margin		30%	30%	30%	32%
Tax Rate		13%	16%	15%	24%
Return on Research Capital (RORC)		1.11	1.06	1.13	1.13
EBITDA		120,233	130,752	125,556	134,444
Inflation Rate					
EBITDA Y/Y			8%	-4%	7%
USD/EUR (Est. Tariff Assumptions)	0.821	0.884	0.944	0.915	0.954
Revenue L/C		339,746.33	369,264.78	395,432.83	375,049.29
Net Income L/C		87,932.44	93,459.59	100,069.16	89,904.03

(Figure 1- Above is a representation of the Income statement for AAPL the past five years Y/Y. As you can see, the past three years have shown stagnation in iPhone revenue and subsequently the total revenue. I also attribute the growth in 2021 over 2020 to be largely attributable to extremely high Inflation, yet this is a topic for another paper given the intricate nature of such a claim. Given the possibility of growth in their other products there is an outlying year: 2023 in which the other products did gain in revenue. Subsequently this gain did not lead to any gain in revenue as this was the poorest performing year, as far as revenue goes, in the past three years adding to the thesis of reliance on iPhone as a revenue source.)



(Figure 2- A representation of stock performance from a price standpoint, and thus a valuation standpoint, for the past 5 years. As you can see the largest market cap jump was from 2020 to 2021. Furthermore, in Figure 1 the largest revenue jump at 33% was from 2020 to 2021, and subsequently the largest change in iPhone revenue at 39% was also from 2020 to 2021. So indeed, there is a method to the madness.)

Equity Research Report: Nicholas Jones

In million Except Share Which is in Thousands and Per Share Data	Based on Valuation Metrics and Reasoning																				
	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036	2037	2038	2039	2040	2041	2042	2043	2044	2045
Income Statement																					
iPhone	205,206.66	209,310.79	211,403.90	213,517.94	215,633.12	217,809.65	219,987.75	222,187.62	224,409.50	226,653.60	228,920.13	231,209.33	233,521.43	235,856.64	238,215.21	240,597.36	243,003.33	245,433.37	247,887.70	250,366.58	252,870.24
iPhone % Rev	52%	51%	51%	52%	51%	52%	52%	52%	52%	52%	51%	51%	50%	50%	50%	50%	50%	50%	50%	50%	50%
Mac	29,194	29,778	30,076	30,377	30,681	30,987	31,297	31,610	31,926	32,246	32,568	32,894	33,223	33,555	33,891	34,229	34,572	34,917	35,267	35,619	35,975
iPad	24,198	24,682	24,929	25,179	25,430	25,685	25,942	26,201	26,463	26,728	26,995	27,265	27,537	27,813	28,091	28,372	28,656	28,942	29,232	29,524	29,819
Wearables																					
Products	300,763	306,779	309,846	312,945	316,074	319,235	322,427	325,652	328,908	332,197	335,519	338,874	342,263	345,686	349,143	352,634	356,160	359,722	363,319	366,952	370,622
Services	98,092	100,054	101,055	102,065	103,086	104,117	105,158	106,210	107,272	108,344	109,428	110,522	111,627	112,744	113,871	115,010	116,160	117,321	118,495	119,680	120,876
Revenue	398,856	406,833	410,901	415,010	419,160	423,352	427,585	431,861	436,180	440,542	444,947	449,397	453,890	458,429	463,014	467,644	472,320	477,043	481,814	486,632	491,496
Cost of Product (COP)	188,538	192,716	194,644	196,590	198,556	200,541	202,547	204,572	206,618	208,684	210,771	212,879	215,008	217,158	219,329	221,523	223,738	225,975	228,235	230,517	232,822
Cost of Services (COS)	25,621	26,134	26,395	26,659	26,926	27,195	27,467	27,742	28,019	28,299	28,582	28,868	29,157	29,448	29,743	30,040	30,341	30,644	30,950	31,260	31,572
Total Cost of Sales (TCOS)	214,559	218,850	221,039	223,249	225,482	227,736	230,014	232,314	234,637	236,983	239,353	241,747	244,164	246,606	249,072	251,563	254,078	256,619	259,185	261,777	264,395
Gross Profit	184,297	187,983	189,862	191,761	193,679	195,615	197,572	199,547	201,543	203,558	205,594	207,650	209,726	211,823	213,942	216,081	218,242	220,424	222,629	224,855	227,103
R and D	31,997	32,637	32,964	33,293	33,626	33,963	34,302	34,645	34,992	35,342	35,695	36,052	36,412	36,777	37,144	37,516	37,891	38,270	38,653	39,039	39,429
SG and A	26,619	27,151	27,423	27,697	27,974	28,254	28,536	28,822	29,110	29,401	29,695	29,992	30,292	30,595	30,901	31,210	31,522	31,837	32,155	32,477	32,802
Operating Expenses (OpEx)	58,616	59,789	60,387	60,990	61,600	62,216	62,838	63,467	64,102	64,743	65,390	66,044	66,704	67,371	68,045	68,726	69,413	70,107	70,808	71,516	72,231
Operating Income (OpInc)	125,680	128,194	129,476	130,771	132,078	133,399	134,733	136,080	137,441	138,816	140,204	141,606	143,022	144,452	145,897	147,356	148,829	150,317	151,821	153,339	154,872
Interest	274	280	283	285	288	291	294	297	300	303	306	309	312	315	319	322	325	328	331	335	338
Pretax Income	125,955	128,474	129,759	131,056	132,367	133,690	135,027	136,378	137,741	139,119	140,510	141,915	143,334	144,767	146,215	147,677	149,154	150,646	152,152	153,674	155,210
Taxes	30,344	30,951	31,260	31,573	31,889	32,208	32,530	32,855	33,184	33,515	33,850	34,189	34,531	34,876	35,225	35,577	35,933	36,292	36,655	37,022	37,392
Net Income	95,611	97,523	98,498	99,483	100,478	101,483	102,498	103,523	104,558	105,603	106,659	107,726	108,803	109,891	110,990	112,100	113,221	114,353	115,497	116,652	117,818
EPS	6.32	6.45	6.52	6.58	6.65	6.71	6.78	6.85	6.92	6.99	7.06	7.13	7.20	7.27	7.34	7.42	7.49	7.56	7.64	7.72	7.79
Shares	15,116,786	15,116,786	15,116,786	15,116,786	15,116,786	15,116,786	15,116,786	15,116,786	15,116,786	15,116,786	15,116,786	15,116,786	15,116,786	15,116,786	15,116,786	15,116,786	15,116,786	15,116,786	15,116,786	15,116,786	15,116,786
Revenue Y/Y	2%	2%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%
Revenue L/C Y/Y	9%	1%	1%	1%	1%	1%	0%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%
iPhone Y/Y	2%	2%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%
Services Y/Y	2%	2%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%
Gross Margin	46%	46%	46%	46%	46%	46%	46%	46%	46%	46%	46%	46%	46%	46%	46%	46%	46%	46%	46%	46%	46%
Services Margin	74%	74%	74%	74%	74%	74%	74%	74%	74%	74%	74%	74%	74%	74%	74%	74%	74%	74%	74%	74%	74%
Products Margin	37%	37%	37%	37%	37%	37%	37%	37%	37%	37%	37%	37%	37%	37%	37%	37%	37%	37%	37%	37%	37%
Operating Margin	32%	32%	32%	32%	32%	32%	32%	32%	32%	32%	32%	32%	32%	32%	32%	32%	32%	32%	32%	32%	32%
Tax Rate	24%	24%	24%	24%	24%	24%	24%	24%	24%	24%	24%	24%	24%	24%	24%	24%	24%	24%	24%	24%	24%
Return on Research Capital (RORC)	1.12	1.11	1.11	1.11	1.11	1.11	1.11	1.11	1.11	1.11	1.11	1.11	1.11	1.11	1.11	1.11	1.11	1.11	1.11	-	-
EBITDA	136,920	139,444	140,738	142,044	143,363	144,695	146,040	147,399	148,771	150,156	151,556	152,969	154,397	155,838	157,294	158,765	160,250	161,749	163,264	164,794	166,338
Inflation Rate																					
EBITDA Y/Y	2%	2%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%
USD/EUR (Est. Tariff Assumptions)	0.93492	0.9255708	0.916315092	0.907151941	0.898080422	0.897182341	0.896285159	0.895388874	0.894493485	0.893598991	0.892705392	0.891812687	0.890920874	0.890029953	0.889139923	0.888250784	0.887362533	0.88647517	0.885588695	0.884703106	0.883818403
Revenue L/C	406,995.61	410,942.24	415,051.68	419,202.18	423,394.28	427,775.63	428,013.29	432,295.52	436,616.46	440,982.62	445,392.45	449,846.37	454,344.84	458,888.29	463,477.17	468,111.94	472,793.06	477,520.99	482,296.20	487,115.16	491,990.35
Net Income L/C	97,561.96	99,598.91	99,493.09	100,498.93	101,492.91	101,584.34	102,690.18	103,826.19	104,982.45	106,169.97	107,386.38	107,833.82	108,912.16	109,991.28	111,101.30	112,232.31	113,394.43	114,607.78	115,812.46	116,769.58	117,936.27

(Figure 3- I have modestly given AAPL a 2% growth rate for the first two years of projections and then 1% maturity for all metrics up to 2045 except Net Income (NI.) As NI continues to the year 2382 for perpetuity calculation reasoning. It is important to remember that these estimates are for “Valuation Metrics and Reasoning.” Thus, you could presume that Services surpass the estimates displayed here, yet these estimates are for the Net Present Value (NPV) of today. It could also be said that iPhone Revenue and Revenue in general will not grow at these generous rates. As I stated above, generally speaking, you are supposed to have a negative maturity rate yet given the nature of the overvaluation found I kept the positive maturity percentage, as it is generally better to be conservative in forecasting. This allows you to work more off the data given and lessens the chance of variation in your valuation.)

Equity Research Report: Nicholas Jones

Main	10/28/2021	1/27/2022	4/28/2022	7/28/2022	10/27/2022	2/2/2023	5/4/2023	8/3/2023	11/2/2023	2/1/2024
In million Except Share Which is In Thousands and Per Share Data	Q4 21	Q1 22	Q2 22	Q3 22	Q4 22	Q1 23	Q2 23	Q3 23	Q4 23	Q1 24
Cash Flow Statement										
Operating Activities:										
Model NI	20,551	34,630	25,010	19,442	20,721	29,998	24,160	19,881	22,956	33,916
Reported "GAAP" NI	20,551	34,630	25,010	19,442	20,721	29,998	24,160	19,881	22,956	33,916
Depreciation and Amortization (D&A)	2,989	2,897	2,737	2,805	2,865	2,916	2,898	3,052	2,853	2,848
Share Based Compensation	1,945	2,265	2,252	2,243	2,278	2,905	2,686	(7,242)	12,484	2,997
Deferred Taxes (D/T)	(4,037)	682	406	1,668	(1,861)	NA	NA	NA	NA	NA
Other	542	167	(187)	(41)	172	(317)	(1,415)	81	(576)	(989)
Accounts Receivable (A/R)	(11,441)	(3,934)	9,476	(981)	(6,384)	4,275	5,321	(1,987)	(9,297)	6,555
Inventories	(1,429)	681	384	(16)	435	(1,807)	(741)	(22)	952	(137)
Vendor Non-Trade	(8,795)	(9,812)	10,455	4,146	(12,309)	2,320	12,465	(1,674)	(11,840)	4,569
Other Current-Non Current										
Assets (OCNCA)	(2,143)	(4,921)	1,379	253	(3,210)	(4,099)	7	7,078	(8,670)	(3,865)
Accounts Payable (A/P)	14,112	19,813	(21,563)	(4,358)	15,556	(6,075)	(14,689)	3,974	14,901	(4,542)
Deferred Revenue	(62)	462	165	(367)	218	131	NA	NA	NA	NA
Other Current-Non Current										
Liabilities	5,336	4,236	(2,348)	(1,902)	5,646	3,758	(2,001)	1,229	45	(3,865)
Cash Flow From Operations (CFFO)	17,568	46,966	28,166	22,892	24,127	34,005	28,691	24,370	23,608	37,487
Purchase of Marketable Securities	(15,506)	(34,913)	(27,074)	(8,191)	(6,745)	(5,153)	(6,044)	(9,759)	(8,557)	(9,780)
Maturities of Marketable Securities	9,143	11,309	6,691	6,203	5,714	7,127	9,997	10,733	11,829	13,046
Sale of Marketable Securities	10,715	10,675	13,993	8,941	3,837	509	1,388	2,062	1,869	1,337
PP&E Payment ("CapEx")	(3,223)	(2,803)	(2,514)	(2,102)	(3,289)	(3,787)	(2,916)	(2,093)	(2,163)	(2,292)
Other	(546)	(374)	207	(1,016)	(903)	(141)	(106)	(506)	(584)	(284)
Cash Flow From Income	583	(16,106)	(8,697)	3,835	(1,386)	(1,445)	2,319	437	2,394	1,927
Taxes on Equity Awards	(701)	(2,888)	(330)	(2,697)	(308)	(2,316)	(418)	(2,385)	(312)	(2,591)
Dividends Paid	(3,640)	(3,732)	(3,595)	(3,811)	(3,703)	(3,768)	(3,650)	(3,849)	(3,758)	(3,825)
Stock Buybacks	(19,748)	(20,478)	(22,631)	(21,865)	(24,428)	(19,475)	(19,594)	(17,478)	(21,003)	(20,139)
Debt Repayments	5,220	-	(3,750)	(3,000)	(2,793)	(1,401)	(2,250)	(2,388)	116	-
Net Commercial Paper Activity	(2,000)	(1,000)	1,999	3,971	(1,015)	(8,214)	254	1,989	1,993	(3,964)
Other Financing	487	(61)	(44)	(43)	(12)	(389)	(66)	(53)	(73)	(46)
Cash Flow From Financing (CFFF)	(20,382)	(28,159)	(28,351)	(27,445)	(32,259)	(35,563)	(25,724)	(24,164)	(23,037)	(30,585)
Free Cash Flow (FCF)	20,791	49,769	30,680	24,994	27,416	37,792	31,607	26,463	25,771	39,879
CFFO Y/Y		17%	15%	-4%	27%	-38%	2%	6%	-2%	9%
CapEx Y/Y		-25%	10%	0%	2%	26%	14%	0%	-52%	-58%
FCF Y/Y		15%	14%	-3%	24%	-32%	3%	6%	-6%	5%

Main	5/2/2024	8/1/2024	10/31/2024	1/31/2024
In million Except Share Which is In Thousands and Per Share Data	Q2 24	Q3 24	Q4 24	Q1 25
Cash Flow Statement				
Operating Activities:				
Model NI	23,636	21,448	14,736	36,330
Reported "GAAP" NI	23,636	21,448	14,736	36,330
Depreciation and Amortization (D&A)	2,836	2,850	2,911	3,080
Share Based Compensation	2,964	2,869	2,858	3,286
Deferred Taxes (D/T)	NA	NA	NA	NA
Other	(982)	7	(302)	(2,009)
Accounts Receivable (A/R)	1,172	(1,030)	(10,485)	3,587
Inventories	190	(12)	(1,087)	3,166
Vendor Non-Trade	7,595	(1,064)	(12,456)	215
Other Current-Non Current				
Assets (OCNCA)	(573)	10,064	(17,357)	939
Accounts Payable (A/P)	(12,168)	1,539	21,191	(6,671)
Deferred Revenue	NA	NA	NA	NA
Other Current-Non Current				
Liabilities	(573)	4,440	15,550	(11,998)
Cash Flow From Operations (CFFO)	24,097	41,111	15,559	29,935
Purchase of Marketable Securities	(15,262)	(13,032)	(10,582)	(6,124)
Maturities of Marketable Securities	14,416	12,376	11,373	15,967
Sale of Marketable Securities	2,977	3,068	3,753	3,492
PP&E Payment ("CapEx")	(1,996)	(2,151)	(2,908)	(2,940)
Other	(445)	(388)	(191)	(603)
Cash Flow From Income	(310)	(127)	1,445	9,792
Taxes on Equity Awards	(284)	(2,288)	(278)	(2,921)
Dividends Paid	(3,710)	(3,895)	(3,804)	(3,856)
Stock Buybacks	(23,205)	113,210	(164,815)	(23,606)
Debt Repayments	(3,150)	(4,250)	(2,558)	1,009
Net Commercial Paper Activity	2	997	6,945	(7,944)
Other Financing	(86)	(59)	(170)	(35)
Cash Flow From Financing (CFFF)	(30,433)	103,715	(164,680)	(37,353)
Free Cash Flow (FCF)	26,093	43,262	18,467	32,875
CFFO Y/Y	-19%	41%	-52%	-25%
CapEx Y/Y	-46%	3%	26%	19%
FCF Y/Y	-21%	39%	-40%	-21%

Main	2021	2022	2023	2024
In million Except Share Which is In Thousands and Per Share Data				
Liabilities+Shareholder Equity (L+S/E)	1,366,528	1,373,295	1,378,546	1,375,120
Cash Flow Statement				
Operating Activities:				
Model NI	94,680	100,555	101,935	99,633
Reported "GAAP" NI	94,680	100,555	101,935	99,633
Depreciation and Amortization (D&A)	11,284	11,315	11,255	11,228
Share Based Compensation	7,906	8,151	8,422	8,705
Deferred Taxes (D/T)	(4,774)	(4,034)	(3,479)	(1,281)
Other	(147)	(5)	307	481
Accounts Receivable (A/R)	(10,125)	(3,114)	(2,236)	(6,880)
Inventories	(2,642)	(1,011)	(351)	(380)
Vendor Non-Trade	(3,903)	(3,521)	(10,052)	(4,006)
Other Current-Non Current				
Assets (OCNCA)	(8,042)	(9,437)	(7,251)	(5,432)
Accounts Payable (A/P)	12,326	10,469	12,573	8,004
Deferred Revenue	1,676	797	661	198
Other Current-Non Current				
Liabilities	5,799	2,076	4,642	5,322
Cash Flow From Operations (CFFO)	104,038	112,241	116,426	115,592
Purchase of Marketable Securities	(109,558)	(104,671)	(97,121)	(85,684)
Maturities of Marketable Securities	59,023	45,155	37,418	33,346
Sale of Marketable Securities	47,460	48,791	50,483	44,324
PP&E Payment ("CapEx")	(11,085)	(10,388)	(10,633)	(10,642)
Other	(628)	(1,197)	(795)	(1,729)
Cash Flow From Income	(14,788)	(22,310)	(20,648)	(20,385)
Taxes on Equity Awards	(6,556)	(6,583)	(6,614)	(6,616)
Dividends Paid	(14,467)	(14,586)	(14,734)	(14,778)
Stock Buybacks	(85,971)	(81,674)	(85,757)	(84,722)
Debt Repayments	(2,280)	(1,280)	(15,453)	(1,530)
Net Commercial Paper Activity	1,022	-	1,999	2,970
Other Financing	415	376	(213)	339
Cash Flow From Financing (CFFF)	(107,837)	(103,747)	(120,772)	(104,337)
Free Cash Flow (FCF)	115,123	122,629	127,059	126,234
CFFO Y/Y		7%	4%	-1%
CapEx Y/Y		-7%	2%	0%
FCF Y/Y		6%	3%	-1%
D+A Y/Y		0%	-1%	0%

(Figure 4, 5, 6- As stated above there is high fluctuation in working capital when you look at the Q/Q data, yet when you look at the Y/Y picture the working capital tends to balance out. This is why I prefer Net Income to perpetuity as the working capital of the last year may leave the

projection skewed based on susceptibility to an under evaluation or overevaluation due to the variation of changes in Accounts Payable and Accounts Receivable. Thus, while Free Cash Flow (FCF) deserves attention and is an important metric for gaining an idea over short-term fluctuations in asset evaluation, using it in longterm valuations can generally lead to over/under evaluations that the NI strategy avoids.

Also worth noting in the Cash Flow Statement for AAPL is the “stock buyback” program, which is generally a good sign if the company is buying back their own shares yet given the cyclical nature of this, I would not put too sentiment into this. Essentially, given my idea about what it means to buy shares of a company as stated above, I would prefer this company not to buy more shares of itself at the current evaluation per share. Thus, if anything this is a negative for me.

You can make a case that the dividends paid make the Stock more attractive, but not nearly attractive enough to account for their current Market Cap/valuation.

If I was to be a stickler over the Cash Flow Statement I would say that I would like to see more investment in PP&E or Capital Expenditures (CapEx) to hedge against the likely tariff situation that is currently pending, yet time will tell how they react to said tariffs and how much this will delve into their gross margins for their products.)



(Figure 7- Given the heavy reliance upon the NI to perpetuity calculations that are the basis of my evaluation assumptions I would like to present the chart above: “AAPL NPV Valuation Scenarios” in which I broaden the scope of potential outcomes by giving multiple different growth rates and multiple different discount rates. While I may believe that several of these calculations are not based on my beliefs and with the basis of practicality or reasoning as the driver of their Maturity rate and Discount Rate, I have labeled the one’s that are almost not worth looking at as “Impractical” which are purple on the given chart. I have also given my likely case in blue based on a fair Discount Rate and Maturity Rate but do understand that actual, or specific, values are based on my assumptions. Said assumptions may have extensive reasoning behind them but they are still assumptions. Other than this, different shades of red are given to detail the possible change in market cap scenarios, based on how drastic that loss may be. The different gains in market cap scenarios are also given in shades of green based on how drastic that gain would be. The percentage to shade ratio is found in the key for each scenario.)

Main				
<i>In million Except Share</i>				
<i>Which is In Thousands and</i>				
<i>Per Share Data</i>				
	2021	2022	2023	2024
Assets:				
Cash	103,595	123,820	131,828	128,985
Current Marketable Securities	127,669	129,189	132,459	134,621
Accounts Receivable (A/R)	90,745	90,187	94,088	97,334
Inventories	53,130	73,218	85,049	98,075
Vendor Non-Trade Receivable (Vendor NTR)	74,359	50,442	38,711	25,239
Other Current Assets (OCA)	58,417	55,974	56,198	56,855
Current Assets	507,915	522,830	538,333	541,109
Non-Current Marketable Securities	429,161	414,541	399,267	386,446
Property Plant and Equipment (PP&E)	173,614	174,329	174,477	175,429
Other Non-Current Assets	255,838	261,595	266,469	272,136
Total Non-Current Assets	858,613	850,465	840,213	834,011
Total Assets	1,366,528	1,373,295	1,378,546	1,375,120
Liabilities:				
Accounts Payable (A/P)	210,173	210,401	213,209	214,084
Accrued Expenses (A/E)	234,044	228,762	229,635	231,627
Deferred Revenue (D/R)	32,342	32,614	32,495	32,390
Commercial Paper	13,717	13,972	13,973	12,974
Current Debt	37,356	38,570	38,754	43,652
Current Liabilities	527,632	524,319	528,066	534,727
Non-Current Debt	390,020	385,481	380,271	368,396
Other Non-Current Liabilities (ONCL)	207,571	204,817	199,495	194,849
Total Non-Current Liabilities	597,591	590,298	579,766	563,245
Total Liabilities	1,125,223	1,114,617	1,107,832	1,097,972
	-	-	-	-
Shareholder Equity (S/E)	241,305	258,678	270,714	277,148
Liabilities+Shareholder' Equity (L+S/E)	1,366,528	1,373,295	1,378,546	1,375,120

(Figure 8- The Balance Sheet for AAPL includes many things that we have already gone over with the Cash Flow Statement, yet I think the shareholder equity (S/E) increasing Y/Y gives more insight into the stock buyback program I was generally negative on for the reasons stated above.

While Stock buybacks are generally considered positive as they signal that the company is positive in their own outlook, but AAPL's rising (S/E) suggests that these buybacks are only partially accounting for growth in shareholder equity. Despite what many may think of this seasonality, they are merely using a portion of their capital gains to reduce shares outstanding, rather than aiming to own a larger percentage of the company than the year before.

You can also presume that these shares will be issued back to the public through offerings. Basically, the shares that they are buying back do not account enough for the increase in the per share gain that was seen over that year. Thus, this does not necessarily mean that they are increasing share value. So, there is not much to say here other than a good accounting strategy by them.)

Equity Research Report: Nicholas Jones



(Figure 9 is a representation of AAPL's current EBITDA multiple calculation compared to other companies, either "Magnificent 7" or with a similar company structure at various discount rates. The key is the same as the NI Valuation chart. Furthermore, I do not put much thought into this chart, as it is merely a comparison of AAPL's EBITDA compared to other companies' multiples NPV calculation at various discount rates, yet some parties may find this chart useful. I would note that the only companies with a higher multiple are TSLA and NVDA. One had a CEO who said they were going to inhabit Mars (and is credible enough that people somewhat believe him), while the other could be assumed to be responsible for a trading war between two world powers. For AAPL to not bring anything to the table even relatively close does say something.)

Works Cited:

- <https://app.godelterminal.com/>
- Graham, B. (2024). *The intelligent investor (Latest Edition)*.
- <https://www.financecharts.com/stocks/AAPL/performance/total-return>
- <https://www.bondsupermart.com/bsm/bond-factsheet/US037833AT77>